Law of Equity and Trusts (EQT1)

Module 6: Breach, Tracing and Remedies

Lesson 1: Following, Tracing and Proprietary Claims

Lesson Notes

KMVTECHUG
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Following and Tracing

Following locates the same asset as it moves from hand to hand. Tracing identifies a substitute asset that represents the value of the original trust property. Neither is a remedy; both enable proprietary or personal claims.

Common Law and Equitable Tracing

Common law tracing is limited by mixing. Equitable tracing can follow value into mixed funds. Under Re Hallett, withdrawals from a mixed account are generally treated as coming first from the trustee's own money, protecting the trust.

Key idea: Equitable tracing is the practical tool for beneficiaries when trust money has been mixed or substituted.

Reflect: *Why does mixing defeat common law tracing more readily than equitable tracing?*

Limits of Tracing

Tracing stops when property is dissipated. A bona fide purchaser for value of the legal estate without notice takes free of the equitable interest. In Uganda, the Registration of Titles Act Cap 240 is critical when the asset is registered land.

Key Takeaways

- Following vs tracing.
- Equitable tracing handles mixed funds (Re Hallett).
- Dissipation and bona fide purchase without notice stop tracing.
- Always check Cap 240 for registered land.

Quick Revision Checklist

- ☐ I can define following and tracing.
- ☐ I can explain Re Hallett.
- ☐ I know the main limits of tracing.
- ☐ I can link tracing to Cap 240 in land cases.